

CHINA MACHINERY

2Q/1H26 Preview: Strong core operations partially offset by unfavorable FX; prefer Weichai, Sinotruk, Dingli, First Tractor and Lonking (up to Buy)

Our China machinery coverage companies are scheduled to report 2Q26/1H26 results towards end-August. In this note, we preview the upcoming prints based on the latest industry data. We also make changes to our industry forecasts based on the ytd developments, and correspondingly revise EPS estimates for our coverage companies (by -1%~+18%). We upgrade Lonking from Neutral to Buy as we view Lonking as well positioned to benefit from 'stronger-for-longer' EM exports, against its compelling valuation and superior shareholder returns.

Nick Zheng, CFA+852-2978-1405 | nick.zheng@gs.com
Goldman Sachs (Asia) L.L.C.**Selina Yan**+852-2978-0178 | shuling.yan@gs.com
Goldman Sachs (Asia) L.L.C.**Domestic: Tractors joined construction machinery and HDTs for recovery**

Entering the third/second year of the recovery cycle led by replacement demand, construction machinery and HDTs sustained solid growth momentum in 2Q26 (up 36%/c.20% yoy).

- **Within construction machinery**, excavators saw +DD% yoy growth across all tonnage classes while non-excavators also saw robust growth with notable demand inflection in AWP.
- **For HDTs**, the growth was primarily driven by strong LNG HDT and eHDTs. 2Q26 saw eHDT penetration further increase to 38%.
- **Agricultural tractor**, after three years of downcycle, inflected, with 20%+ yoy growth recorded in medium-to-high HP tractors production where high-HP tractors continued to outperform (40%+ yoy growth).

Export: strength sustained; Middle East inflected in June

In 2Q26, exports of construction machinery stayed solid, while HDTs and tractors accelerated. By export destinations, Africa and South America sustained broad strength. Southeast Asia saw a growth moderation in excavators and HDTs, though performance remained solid with +DD% yoy growth. The Middle East was the only drag in 2Q26, but it has turned positive yoy in Jun across all machinery segments.

2Q26/1H26 earnings preview: unfavorable FX remained an offsetting factor

While we expect most machinery companies to report solid core operations during the quarter/half, we see FX impact to drive differences in report bottom-line earnings – companies with more USD exposures could be negatively impacted more

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(e.g. Sany, Hengli and Dingli), similar to the 1Q26. We expect Weichai (2Q26E NP: +38% yoy), Sinotruk (1H26E NP: +21% yoy) and Lonking (1H26E NP: +20% yoy; pre-announced already) to deliver relatively better reported earnings growth.

2H26 outlook: Domestic recovery continues but pace may vary; export to stay solid

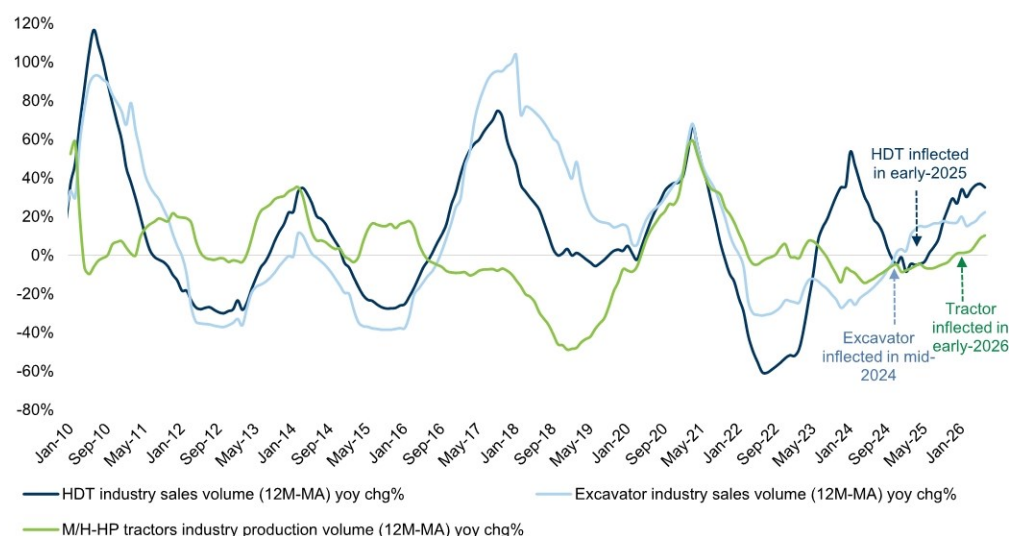
- **Excavator:** We expect domestic sales growth to moderate in 2H26 on high comps, with full-year sales growth projected +16% yoy, while we upgraded export forecasts to reflect robust momentum across regions.
- **HDT:** Domestically, we expect 2H26E to see a slowdown due to high base last year with full-year sales projected to be flat yoy. For exports, we raised our forecasts with full-year growth expected at +30% yoy, to factor in stronger-than-expected demand from EMs, particularly South America and Africa.
- **Medium-to-high HP tractor:** We reaffirm our view that 2026 will be the inflection year for China domestic tractor market after the three-year downcycle, with full-year growth projected at +10% yoy, mainly driven by high-HP tractors (up 15+% yoy). In addition, we expect exports to maintain strong momentum, up c.30% yoy, driving overall industry sales volume up 15%+ yoy.

Stock views: Buy Weichai/First Tractor/Sinotruk/Dingli/Lonking (up to Buy)

Within our China machinery coverage, we prefer companies: 1) that can benefit from the strong AIDC capex globally - Weichai (we expect AIDC power generation to represent 44%/52% of the company's 2027E/28E earnings); 2) that are leveraged to EM strength with more attractive valuation and better shareholder returns - Sinotruk and Lonking (we upgraded the stock to Buy from Neutral); 3) whose products are still in the early stage of a recovery cycle - First Tractor (agricultural tractors) and Dingli (AWP).

Exhibit 1: HDTs and Excavators entered the second/third year of the recovery cycle, while tractors join recovery in 2026

China machinery cycle analysis - HDT & Excavator & Tractor



Source: CCMA, CAAM, NBS

Construction machinery: Accelerated domestic recovery, strong exports shadowed by unfavorable FX

Key industry highlights in 2Q26

Exhibit 2: Summary of key industry trends in 2Q26 - construction machinery

Industry association data	2024	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YoY					
										1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
China domestic sales volume (unit)															
Excavator	26,961	20,538	26,598	36,562	29,075	24,240	28,641	39,579	39,446	38%	8%	18%	8%	8%	36%
Small (<20t)	19,888	14,621	20,443	28,685	22,029	18,437	22,492	31,214	30,280	44%	11%	26%	10%	9%	37%
Medium (20-30t)	4,179	3,171	3,391	4,930	3,983	3,300	3,418	5,151	5,443	32%	-5%	4%	1%	4%	37%
Large (≥30t)	2,894	2,746	2,764	2,947	3,063	2,503	2,731	3,214	3,723	6%	6%	-9%	-1%	9%	22%
Wheeled loader	15,777	12,497	12,916	16,379	19,243	14,374	16,334	18,677	22,719	25%	22%	15%	26%	14%	18%
Concrete Machinery	6,288	3,536	4,746	4,715	7,853	6,077	9,181	7,066	13,637	18%	25%	72%	93%	50%	74%
Mixing truck	5,341	3,087	4,429	4,176	6,770	5,395	8,659	6,429	11,815	18%	27%	75%	96%	54%	75%
Pumping truck	947	449	317	539	1,083	682	522	637	1,822	17%	14%	52%	65%	18%	68%
Mobile crane	8,952	5,502	6,523	8,717	8,274	6,771	8,460	8,661	8,791	-5%	-8%	23%	30%	-1%	6%
Crawler crane	234	160	184	247	247	260	337	263	274	2%	6%	63%	83%	6%	11%
Truck crane	3,281	1,747	1,778	2,953	3,139	2,173	2,404	3,464	3,660	-20%	-4%	24%	35%	17%	17%
Truck-mounted crane	5,437	3,595	4,561	5,517	4,888	4,338	5,719	4,934	4,857	5%	-10%	21%	25%	-11%	-1%
AWP	29,905	19,252	14,100	15,175	18,958	14,472	12,718	12,040	24,162	-35%	-37%	-25%	-10%	-21%	27%
Road Roller	1,681	1,264	1,110	1,687	1,918	1,571	1,285	1,545	1,778	22%	14%	24%	16%	-8%	-7%
Forklift	223,407	182,538	188,599	229,044	247,338	220,993	209,437	253,084	290,765	9%	11%	21%	11%	10%	18%
China export volume (unit)															
Excavator	26,288	23,630	27,152	24,810	30,073	29,279	32,577	33,757	39,538	5%	14%	24%	20%	36%	31%
Small (<20t)	12,095	10,849	11,621	10,838	12,155	12,969	13,401	15,374	17,211	-1%	0%	20%	15%	42%	42%
Medium (20-30t)	8,973	8,540	10,613	9,132	10,725	9,366	11,534	11,375	13,271	10%	20%	10%	9%	25%	24%
Large (≥30t)	5,220	4,241	4,918	4,840	7,193	6,944	7,642	7,008	9,056	15%	38%	64%	55%	45%	26%
Wheeled loader	14,620	12,283	13,495	14,188	14,959	14,596	17,994	19,648	21,008	5%	2%	19%	33%	38%	40%
Mobile crane	4,116	4,015	3,420	4,169	4,588	3,963	4,463	4,621	5,039	5%	11%	-1%	30%	11%	10%
Crawler crane	462	397	439	494	578	539	713	721	862	-2%	25%	36%	62%	46%	49%
Truck crane	2,519	2,277	2,160	2,320	2,350	2,180	2,465	2,583	2,656	4%	-7%	-4%	14%	11%	13%
Truck-mounted crane	1,135	1,341	821	1,355	1,660	1,244	1,285	1,317	1,521	9%	46%	-7%	57%	-3%	-8%
AWP	24,003	24,119	21,007	22,784	29,293	24,933	20,552	33,340	42,025	-6%	22%	3%	-2%	46%	43%
Road Roller	2,444	2,078	1,932	2,783	3,062	2,543	2,612	3,625	4,262	30%	25%	22%	35%	30%	39%
Forklift	122,632	126,024	126,256	119,139	143,813	146,079	135,925	145,528	172,557	13%	17%	16%	8%	22%	20%
China Customs data															
China export volume (unit)															
Excavator	62,116	61,056	59,479	64,192	77,436	85,827	91,620	86,460	100,888	40%	25%	41%	54%	35%	30%
Loader	41,032	33,747	36,238	36,258	39,309	45,543	51,830	52,906	64,861	19%	-4%	35%	43%	46%	65%
Mobile crane	27,505	16,660	19,711	19,226	26,495	32,412	29,126	22,630	38,167	-8%	-4%	95%	48%	18%	44%
Road Roller	8,677	7,517	7,843	9,067	10,961	13,084	8,901	11,427	12,211	27%	26%	74%	13%	26%	11%
Hydraulics	7,865,271	8,971,115	8,838,880	8,580,736	8,890,463	9,245,748	8,454,839	9,584,070	10,896,668	25%	13%	3%	-4%	12%	23%
Electric cylinder	183,343	242,554	238,058	233,566	276,500	332,101	258,833	291,023	443,281	132%	51%	37%	9%	25%	60%
Hydraulic cylinder	3,152,549	3,245,244	3,686,027	3,179,893	3,422,420	3,837,712	3,581,113	3,562,598	3,853,917	8%	9%	18%	-3%	12%	13%
Hydraulic pump	727,267	755,004	668,613	713,794	807,716	661,136	677,767	836,507	778,812	11%	11%	-12%	1%	17%	-4%
Hydraulic valve	3,802,112	4,728,313	4,246,182	4,453,483	4,383,827	4,414,799	3,937,126	4,893,942	5,820,658	40%	15%	-7%	-7%	10%	33%
Concrete machinery	5,832	5,857	4,977	5,778	7,407	6,982	6,970	8,155	8,649	41%	1%	19%	40%	41%	17%
Mixing truck	5,103	5,143	4,143	4,999	6,423	5,932	5,745	7,046	7,509	38%	26%	15%	39%	41%	17%
Pumping truck	729	714	834	779	984	1,050	1,225	1,109	1,140	61%	35%	47%	47%	42%	16%
China export value (mn USD)															
Excavator	2,123	2,041	2,180	2,266	2,626	2,743	3,072	2,857	3,396	23%	24%	34%	41%	26%	29%
Loader	1,128	934	982	936	1,069	1,130	1,315	1,170	1,419	4%	-5%	21%	34%	25%	33%
Mobile crane	1,025	914	977	903	1,134	1,140	1,166	1,053	1,286	10%	11%	25%	19%	17%	13%
Road Roller	196	170	162	194	231	204	192	230	263	16%	18%	20%	19%	19%	14%
Hydraulics	492	485	490	475	523	541	525	534	616	5%	6%	12%	7%	12%	18%
Electric cylinder	20	24	21	22	18	18	21	16	15	40%	-12%	-25%	-1%	-26%	-14%
Hydraulic cylinder	316	293	302	294	331	341	330	336	388	4%	5%	16%	9%	14%	17%
Hydraulic pump	94	99	100	97	109	115	110	113	131	3%	17%	17%	10%	16%	20%
Hydraulic valve	62	69	67	62	64	67	65	69	82	2%	3%	-3%	-4%	12%	27%
Concrete machinery	324	337	278	321	395	374	385	458	478	36%	22%	11%	38%	42%	21%
Mixing truck	224	229	178	216	268	240	241	306	322	28%	20%	5%	36%	42%	20%
Pumping truck	100	108	100	106	126	134	143	151	156	55%	27%	24%	43%	43%	23%

Source: CCMA, China Customs, ThinkerCar

We summarize below key highlights at the industry level during 2Q26 (Exhibit 2):

Domestic: 2Q26 saw DD% yoy growth across most machinery categories, except for road rollers (MSD% decline).

- Excavators saw accelerated growth of +36% yoy in 2Q26, with DD% yoy growth across all tonnage segments.
- Among non-excavator categories, loaders remained solid with +18% yoy growth, while concrete machinery maintained strong momentum at 70%+ yoy. Mobile cranes turned positive yoy growth (+6%). Notably, AWP turned positive yoy in April 2026—reversing a continuous decline since 3Q23—and recorded robust growth of +27% yoy in 2Q26.

Export: 2Q26 saw DD% yoy growth across all the key machinery types.

- Excavators continued to see 30%+ yoy growth. Based on our export tracker (see the latest report [here](#)), exports to DMs moderated in 2Q though growth remained solid at +DD% yoy. Exports to EMs saw broad-based robust growth, with Southeast Asia accelerating and Middle East inflecting in Jun.
- Non-excavators continued to see robust growth across the board. Notably, AWP maintained robust growth of 40%+ yoy, continuing the positive momentum since 1Q26 inflection.

Key highlights for 2Q26/1H26 earnings preview

We summarize below the key preview highlights for our coverage companies ([Exhibit 3](#)):

- **Top-line growth:** We project robust top-line growth (+20-25% yoy) across our China construction machinery coverage companies for the quarter/half, on the back of the strong demand momentum indicated by monthly data.
- **Profitability:** Although FX headwinds persisted in 2Q26, the impact was relatively milder than in 1Q26. Companies with higher USD exposures might get impacted more – e.g. Sany, Hengli and Dingli.
- **Net profit:** We expect Lonking to deliver relatively better earnings growth (+20% yoy in 1H26 vs. +16-27% pre-announced), followed by Sany (+11% yoy). We expect Hengli and Dingli to see NP decline (yoy basis) as core profit growth was more than offset by the unfavorable FX moves during the quarter.

Exhibit 3: 2Q26/1H26 preview for our China construction machinery coverage companies

mn Rmb	2025							2026						
	1Q25	2Q25	1H25	3Q25	4Q25	2H25	2025	1Q26	2Q26E	1H26E	3Q26E	4Q26E	2H26E	2026
Dingli														
Sales	1,898	2,438	4,336	2,339	1,901	4,239	8,575	2,457	2,926	5,383	2,736	2,179	4,916	10,299
yoy chg%	31%	1%	12%	3%	14%	8%	10%	29%	20%	24%	17%	15%	16%	20%
GPM (%)	40.6%	32.0%	35.7%	36.1%	28.6%	32.7%	34.3%	33.8%	32.0%	32.9%	35.0%	35.2%	35.1%	33.9%
EBIT	440	531	971	623	333	956	1,928	609	683	1,292	699	415	1,115	2,406
yoy chg%	2%	-13%	-7%	-7%	59%	8%	0%	38%	12%	33%	2%	25%	17%	25%
EBIT margin (%)	23.2%	21.8%	22.4%	26.6%	17.5%	22.6%	22.5%	24.8%	23.4%	24.0%	25.6%	19.1%	22.7%	23.4%
Net profit	429	623	1,052	542	305	847	1,899	453	556	1,009	665	373	1,039	2,047
yoy chg%	42%	19%	28%	-15%	81%	5%	17%	6%	-11%	-4%	23%	22%	23%	8%
Net margin (%)	22.6%	25.6%	24.3%	23.2%	16.0%	20.0%	22.1%	18.4%	19.0%	18.7%	24.3%	17.1%	21.1%	19.9%
Sany														
Sales	21,177	23,603	44,780	21,324	23,595	44,919	89,700	24,147	28,324	52,471	23,670	26,423	50,093	102,564
yoy chg%	19%	11%	15%	10%	18%	14%	14%	14%	20%	17%	11%	12%	12%	14%
GPM (%)	27.1%	28.2%	27.6%	28.2%	27.5%	27.8%	27.7%	27.7%	27.5%	27.6%	27.5%	27.4%	27.5%	27.5%
EBIT	2,389	2,921	5,309	2,296	1,389	3,686	8,995	2,924	3,518	6,442	2,447	2,879	5,326	11,768
yoy chg%	64%	45%	53%	35%	278%	79%	63%	22%	20%	21%	7%	107%	44%	31%
EBIT margin (%)	11.3%	12.4%	11.9%	10.8%	5.9%	8.2%	10.0%	12.1%	12.4%	12.3%	10.3%	10.9%	10.6%	11.5%
Net profit	2,471	2,745	5,216	1,919	1,272	3,192	8,408	2,481	3,058	5,539	2,345	2,694	5,039	10,578
yoy chg%	56%	38%	46%	48%	17%	34%	41%	0%	11%	6%	22%	112%	58%	26%
Net margin (%)	11.7%	11.6%	11.6%	9.0%	5.4%	7.1%	9.4%	10.3%	10.8%	10.6%	9.9%	10.2%	10.1%	10.3%
Hengli														
Sales	2,422	2,749	5,171	2,619	3,151	5,770	10,941	3,210	3,436	6,646	3,142	3,935	7,077	13,723
yoy chg%	3%	11%	7%	25%	28%	27%	17%	33%	25%	29%	20%	25%	23%	25%
GPM (%)	39.4%	44.0%	41.8%	42.2%	40.6%	41.3%	41.6%	38.6%	44.0%	41.3%	42.5%	43.7%	43.1%	42.3%
EBIT	579	753	1,332	662	697	1,360	2,692	774	952	1,726	814	1,098	1,912	3,638
yoy chg%	-9%	16%	4%	49%	16%	30%	16%	34%	23%	30%	-14%	57%	41%	35%
EBIT margin (%)	23.9%	27.4%	27.0%	25.3%	22.1%	26.5%	24.6%	24.1%	27.7%	26.0%	25.9%	27.9%	27.0%	26.5%
Net profit	617	812	1,429	658	646	1,303	2,734	652	798	1,450	861	1,140	2,001	3,451
yoy chg%	3%	18%	11%	31%	-10%	7%	9%	6%	-2%	1%	31%	77%	54%	26%
Net margin (%)	25.5%	29.5%	27.6%	25.1%	20.5%	22.6%	25.0%	20.3%	23.2%	21.8%	27.4%	29.0%	28.3%	25.1%
Lonking														
Sales			5,596			5,619	11,215			6,715			6,274	12,989
yoy chg%			4%			16%	10%			20%			12%	16%
GPM (%)			20.3%			22.5%	21.4%			20.5%			21.4%	20.9%
EBIT			517			660	1,177			635			622	1,256
yoy chg%			18%			40%	29%			23%			-6%	7%
EBIT margin (%)			9.2%			11.8%	10.5%			9.5%			9.9%	9.7%
Net profit			632			669	1,301			755			659	1,414
yoy chg%			38%			19%	28%			20%			-2%	9%
Net margin (%)			11.3%			11.9%	11.6%			11.2%			10.5%	10.9%

Source: Company data, Goldman Sachs Global Investment Research

Raising our construction machinery industry forecasts

Incorporating the ytd trends for domestic and exports, we raise our industry forecasts across most of our covered construction machinery products.

Exhibit 4: Summary of our industry model (2014–2028E) – China construction machinery

In '000 units	2014A	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Excavators	90	59	70	140	203	236	328	343	261	195	201	235	280	309	333
yoy chg%	-20%	-35%	20%	100%	45%	16%	39%	5%	-24%	-25%	3%	17%	19%	10%	8%
Domestic	84	53	63	131	184	209	293	274	152	90	101	119	138	158	174
yoy chg%	-19%	-37%	19%	107%	41%	13%	40%	-6%	-45%	-41%	12%	18%	16%	14%	10%
% of total	93%	90%	90%	93%	91%	89%	89%	80%	58%	46%	50%	50%	49%	51%	52%
Small (<20t)	49	36	42	81	111	129	178	164	99	62	75	92	108	124	137
yoy chg%	-15%	-27%	18%	91%	38%	16%	38%	-8%	-40%	-37%	21%	22%	17%	15%	10%
% of domestic total	58%	68%	67%	62%	60%	62%	61%	60%	65%	69%	74%	77%	78%	78%	79%
Medium (20 ≤ t < 30)	24	12	14	32	46	51	77	77	34	16	14	16	18	19	21
yoy chg%	-27%	-51%	15%	133%	46%	10%	52%	0%	-56%	-54%	-8%	8%	12%	10%	8%
% of domestic total	29%	22%	22%	24%	25%	24%	26%	28%	22%	18%	14%	13%	13%	12%	12%
Large (≥30t)	11	5	7	19	27	29	38	33	19	12	11	11	13	15	16
yoy chg%	-20%	-51%	35%	154%	44%	9%	30%	-12%	-42%	-37%	-8%	2%	15%	12%	10%
% of domestic total	13%	10%	12%	14%	14%	14%	13%	12%	13%	11%	10%	10%	9%	9%	9%
Export	6	6	7	10	19	27	35	68	109	105	101	117	142	151	160
yoy chg%	-21%	0%	23%	32%	97%	39%	31%	97%	60%	-4%	16%	22%	22%	6%	6%
% of total	7%	10%	10%	7%	9%	11%	11%	20%	42%	54%	50%	50%	51%	49%	48%
Loaders	151	74	67	98	119	124	131	141	123	103	108	128	157	174	191
yoy chg%	-17%	-51%	-8%	45%	22%	4%	6%	8%	-12%	-16%	5%	18%	22%	11%	10%
Domestic	126	58	53	78	96	98	106	107	81	57	54	66	76	85	94
yoy chg%	-17%	-54%	-8%	47%	22%	3%	8%	1%	-24%	-30%	-4%	22%	15%	12%	10%
% of total	84%	78%	79%	80%	80%	79%	81%	76%	66%	55%	50%	52%	49%	49%	49%
Export	24	16	14	20	23	26	25	34	42	47	54	62	80	88	97
yoy chg%	-18%	-34%	-12%	38%	19%	10%	-4%	38%	25%	10%	15%	15%	30%	10%	10%
% of total	16%	22%	21%	20%	20%	21%	19%	24%	34%	45%	50%	48%	51%	51%	51%
Concrete machinery	55	43	33	46	74	90	124	116	31	36	39	53	69	79	87
yoy chg%	-10%	-22%	-23%	39%	61%	22%	37%	-6%	-74%	19%	8%	35%	30%	14%	10%
Domestic	49	36	26	37	67	82	118	108	20	21	18	26	37	42	46
yoy chg%	-11%	-27%	-27%	42%	80%	22%	45%	-9%	-82%	8%	-13%	40%	41%	14%	10%
% of total	89%	83%	79%	81%	91%	91%	96%	93%	64%	59%	47%	49%	53%	53%	53%
Export	6	7	7	9	7	8	5	8	11	15	21	27	33	37	41
yoy chg%	0%	15%	-3%	28%	-22%	20%	-34%	49%	33%	38%	38%	31%	20%	15%	10%
% of total	11%	17%	21%	19%	9%	9%	4%	7%	36%	41%	53%	51%	47%	47%	47%
Mobile cranes	27	19	19	33	48	61	77	80	47	52	47	51	54	59	64
yoy chg%	-8%	-28%	-2%	77%	47%	26%	26%	4%	-41%	11%	-10%	8%	6%	10%	8%
Domestic				29	44	56	72	74	37	37	30	32	34	37	41
yoy chg%				0%	50%	28%	30%	2%	-50%	2%	-19%	6%	5%	11%	10%
% of total				88%	90%	92%	94%	92%	78%	72%	64%	63%	63%	63%	64%
Export				4	5	5	4	6	10	15	17	18	20	22	23
yoy chg%				0%	25%	8%	-17%	42%	72%	44%	12%	9%	10%	9%	6%
% of total				12%	10%	8%	6%	8%	22%	28%	36%	36%	37%	37%	36%
Road machinery	24	18	17	24	26	24	27	29	24	22	23	27	33	35	36
yoy chg%	-10%	-25%	-4%	41%	7%	-7%	11%	8%	-18%	-8%	5%	19%	20%	5%	4%
Domestic	14	11	12	18	16	15	18	16	11	8	7	9	8	9	9
yoy chg%	-12%	-24%	9%	55%	-8%	-8%	23%	-12%	-33%	-23%	-12%	22%	-13%	9%	9%
% of total	58%	59%	67%	74%	63%	62%	69%	56%	46%	38%	32%	33%	24%	25%	26%
Export	10	7	6	6	10	9	8	13	13	14	16	18	25	26	27
yoy chg%	-7%	-27%	-22%	13%	52%	-6%	-7%	51%	2%	6%	15%	18%	37%	4%	2%
% of total	42%	41%	33%	26%	37%	38%	31%	44%	54%	62%	68%	67%	76%	75%	74%
Aerial working platform						77	104	160	196	206	217	159	187	213	235
yoy chg%							35%	54%	23%	5%	5%	-27%	18%	14%	10%
Domestic						54	85	116	125	130	104	61	67	74	84
yoy chg%							57%	36%	7%	4%	-20%	-41%	9%	11%	12%
% of total						71%	82%	73%	64%	63%	48%	39%	36%	35%	36%
Export						22	18	44	72	77	113	98	120	138	151
yoy chg%							-18%	140%	63%	7%	47%	-14%	23%	15%	9%
% of total						29%	18%	27%	36%	37%	52%	61%	64%	65%	64%

Source: CCMA, China Customs, Goldman Sachs Global Investment Research

Trucks and engines: Strong LNG and electric HDTs at the expense of diesel; export strength sustained

Key industry highlights in 2Q26

We summarize below the highlights at the industry level during 2Q26 (Exhibit 5):

Domestic:

- 2Q26 saw solid domestic sales growth of c.20% yoy. By powertrain, LNG HDT posted robust growth of +27% yoy. Electric HDT continued its strong momentum, nearly doubled yoy, lifting eHDT penetration to 38% in 2Q26, compared to 28% in 2025. In

contrast, diesel HDT sales declined by 8% yoy.

- Despite the resumption of the purchase tax for electric HDT, rising diesel prices enhanced the operating economics of eHDT, driving further adoption. By application, the primary driver of penetration remained short-haul. The electric penetration rate for specialty trucks and tractors held steady at 15%+ and 35%+ respectively, similar to 2025 levels, while the penetration for dump trucks rose notably to 50%, up from 40% in 2025.

Export: 2Q26 exports saw accelerated growth of +49% yoy based on CAAM data. By region, DD% yoy growth was recorded across all the key regions except for the Middle East, which declined by c.20% yoy in 2Q26 but reverted to positive yoy growth in June. Africa and South America remained strong with c.70% yoy growth. CIS continued its positive yoy trend since 1Q26, while Southeast Asia saw a slight slowdown but remained solid with 25+% yoy growth.

Exhibit 5: Summary of key industry trends in 2Q26 - trucks and engines

	2024	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26		YoY													
Heavy-duty truck											1Q25	2Q25	3Q25	4Q25	1Q26	2Q26								
China domestic sales volume (unit)																								
Wholesales	154,358	108,598	150,094	190,895	192,840	196,229	222,726	216,436	221,999		↓	-4%	↑	25%	↑	81%	↑	48%	↑	13%	↑	15%		
Retail sales	165,567	130,087	171,208	153,699	200,956	214,001	230,628	164,260	251,144		↑	13%	↑	21%	↑	65%	↑	35%	↑	7%	↑	25%		
By powertrain																								
ICE	84,881	68,948	107,139	75,796	107,430	101,213	84,263	68,769	98,307		↓	-4%	↑	27%	↑	47%	↓	-21%	↓	-9%	↓	-8%		
% share	51%	53%	63%	49%	53%	47%	37%	42%	39%		↑	4%	↓	-30%	↑	37%	↑	78%	↑	10%	↑	27%		
LNG	63,531	39,562	29,791	47,009	44,494	54,157	53,065	51,604	56,386		↑	178%	↑	207%	↑	199%	↑	177%	↑	49%	↑	98%		
% share	38%	30%	17%	31%	22%	25%	23%	31%	22%		↑	75%	↓	-59%	↓	-54%	↑	114%	↓	-96%	↑	5%		
BEV	15,796	19,277	31,911	29,459	48,473	57,576	88,244	43,826	95,865		↑	0%	↑	5%	↑	23%	↑	44%	↑	37%	↑	49%		
% share	10%	15%	19%	19%	24%	27%	38%	27%	38%		↑	6%	↑	2%	↓	-4%	↑	45%	↑	53%	↑	33%		
Other NEV	1,358	2,299	2,366	1,434	558	1,054	5,055	60	585		↑	46%	↑	38%	↑	49%	↑	38%	↑	47%	↑	26%		
% share	1%	2%	1%	1%	0%	0%	2%	0%	0%		↑	20%	↑	52%	↑	73%	↑	77%	↑	102%	↑	67%		
China exports																								
Wholesales volume (unit)	77,455	69,857	68,942	74,120	81,460	85,858	99,420	101,415	121,093		↔	0%	↑	5%	↑	23%	↑	44%	↑	37%	↑	49%		
China Custom volume data (unit)	86,800	98,670	76,971	69,842	88,345	94,756	111,427	106,873	117,399		↑	6%	↑	2%	↓	-4%	↑	45%	↑	53%	↑	33%		
Southeast Asia	16,085	14,413	17,778	18,954	22,208	21,499	24,519	27,940	28,073		↑	46%	↑	38%	↑	49%	↑	38%	↑	47%	↑	26%		
Africa	18,087	19,965	22,684	20,710	27,564	34,572	40,179	41,803	45,985		↑	20%	↑	52%	↑	73%	↑	77%	↑	102%	↑	67%		
Middle East	10,242	12,000	13,777	15,911	18,643	17,369	20,837	16,796	15,142		↑	66%	↑	82%	↑	45%	↑	51%	↑	6%	↓	-19%		
CIS	31,899	44,410	11,246	5,944	9,100	9,485	11,946	7,624	10,040		↓	-65%	↓	-71%	↓	-79%	↑	6%	↑	28%	↑	10%		
South America	5,617	4,690	7,682	5,224	6,635	7,321	9,161	8,334	11,356		↓	-6%	↑	18%	↑	56%	↑	19%	↑	60%	↑	71%		
China Custom value data (mn USD)	4,194	4,744	3,522	3,058	3,768	4,030	4,653	4,439	4,927		↓	-2%	↓	-10%	↓	-15%	↑	32%	↑	45%	↑	31%		
Southeast Asia	651	605	754	730	848	824	974	1,132	1,132		↑	36%	↑	30%	↑	36%	↑	29%	↑	55%	↑	33%		
Africa	701	704	818	735	952	1,209	1,327	1,417	1,555		↑	17%	↑	36%	↑	72%	↑	62%	↑	93%	↑	63%		
Middle East	585	625	675	820	987	867	997	860	774		↑	67%	↑	69%	↑	39%	↑	48%	↑	5%	↓	-22%		
CIS	1,690	2,359	616	300	397	448	552	346	467		↓	-68%	↓	-77%	↓	-81%	↑	-11%	↑	15%	↑	18%		
South America	356	296	421	309	369	419	513	447	625		↓	-6%	↑	4%	↑	41%	↑	22%	↑	45%	↑	69%		
Engines																								
Domestic HDT engine installation (unit)																								
Diesel engines	84,881	68,948	107,139	75,796	107,430	101,213	84,263	68,769	98,307		↓	-4%	↑	27%	↑	47%	↓	-21%	↓	-9%	↓	-8%		
LNG engines	63,531	39,562	29,791	47,009	44,494	54,157	53,065	51,604	56,386		↑	4%	↑	-30%	↑	37%	↑	78%	↑	10%	↑	27%		
Multi-cylinder engines sales (k units)													↑	0%	↑	2%	↑	6%	↑	9%	↑	10%	↑	43%
Commercial vehicle-used	498	422	484	525	498	462	556	580	538		↓	-3%	↓	0%	↑	9%	↑	15%	↑	11%	↑	8%		
Non commercial vehicle-used	515	466	470	600	532	480	480	657	938		↑	2%	↑	3%	↑	3%	↑	2%	↑	10%	↑	76%		

Source: CAAM, China Customs, CICEIA, ThinkerCar

Key highlights for 2Q26/1H26 earnings preview

We summarize below the key preview highlights (Exhibit 6):

- **Top-line growth:** We expect strong top-line growth for both Weichai (+15% yoy in 2Q26) and Sinteruk (+25% yoy in 1H26) during the quarter/half as indicated by the industry data points.
- **Profitability:** We expect sequential GPM improvement for both companies driven by favorable mix (more LNG and AIDC for Weichai and more exports for Sinotruk).
- **Net profit:** For Weichai, we forecast +38% yoy net profit growth for the quarter, taking into account the one-off gains from the partial disposal of its equity stake in Ballard Power (BLDP, Not Covered) during the quarter. For Sinotruk, we project +21% yoy growth in bottom-line, which is slower than top-line growth mainly due to unfavorable FX moves.

Exhibit 6: 2Q26/1H26 preview for our China truck and engine coverage companies

mn Rmb	2025							2026						
	1Q25	2Q25	1H25	3Q25	4Q25	2H25	2025	1Q26	2Q26E	1H26E	3Q26E	4Q26E	2H26E	2026
Weichai														
Sales	57,464	55,688	113,152	57,419	61,239	118,657	231,809	62,563	64,041	126,604	63,161	72,835	135,996	262,600
yoy chg%	2%	-1%	1%	16%	14%	15%	7%	9%	15%	12%	10%	19%	15%	13%
GPM (%)	22.2%	22.1%	22.2%	21.4%	20.3%	20.8%	21.5%	21.4%	21.7%	21.6%	21.5%	21.5%	21.5%	21.5%
EBIT	2,646	3,402	6,048	4,597	3,208	7,806	13,854	4,794	4,387	9,181	4,958	5,543	10,501	19,682
yoy chg%	-31%	-15%	-23%	37%	-18%	8%	-8%	81%	29%	52%	8%	73%	35%	42%
EBIT margin (%)	4.6%	6.1%	5.3%	8.0%	5.2%	6.6%	6.0%	7.7%	6.9%	7.3%	7.9%	7.6%	7.7%	7.5%
Net profit	2,711	2,933	5,643	3,234	2,053	5,287	10,931	3,085	4,061	7,146	3,654	4,308	7,962	15,109
yoy chg%	4%	-11%	-4%	29%	-32%	-4%	-4%	14%	38%	27%	13%	110%	51%	38%
Net margin (%)	4.7%	5.3%	5.0%	5.6%	3.4%	4.5%	4.7%	4.9%	6.3%	5.6%	5.8%	5.9%	5.9%	5.8%
Sinotruk														
Sales			50,878			58,663	109,541			63,598			68,559	132,157
yoy chg%			4%			27%	15%			25%			17%	21%
GPM (%)			15.1%			15.1%	15.1%			15.6%			15.6%	15.6%
EBIT			3,512			3,534	7,046			4,833			4,880	9,714
yoy chg%			5%			32%	17%			38%			38%	25%
EBIT margin (%)			6.9%			6.0%	6.4%			7.6%			7.1%	7.4%
Net profit			3,427			3,592	7,019			4,157			4,749	8,906
yoy chg%			4%			40%	20%			21%			32%	27%
Net margin (%)			6.7%			6.1%	6.4%			6.7%			6.9%	6.7%

Source: Company data, Goldman Sachs Global Investment Research

Tweaking our heavy-duty truck industry forecasts

- **Domestically**, we expect 2H26E to see a slowdown due to the high comparison base last year as the impact of the truck replacement policy was more skewed in 2H (over 60% yoy). Given the stronger than expected 1H, we now expect 2026E domestic sales to be flat yoy (vs. -10% yoy projected previously), and 2027E to see a milder yoy decline assuming the truck replacement policy will not be renewed.
- **For exports**, we revised up our forecasts, with full-year growth now expected at +30% yoy. This adjustment factors in stronger-than-expected demand from EMs, particularly South America and Africa, which has largely offset the moderation in Southeast Asia.

Exhibit 7: Summary of our industry model (2016-2030E) - China heavy-duty truck industry

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total sales	728	1,112	1,148	1,174	1,617	1,393	672	911	892	1,140	1,242	1,246	1,323	1,469	1,577
% yoy	32%	53%	3%	2%	38%	-14%	-52%	36%	-2%	28%	9%	0%	6%	11%	7%
Domestic	660	1,029	1,080	1,093	1,547	1,264	496	615	602	799	799	759	797	917	1,009
% yoy	44%	56%	5%	1%	41%	-18%	-61%	24%	-2%	33%	0%	-5%	5%	15%	10%
% total	91%	93%	94%	93%	96%	91%	74%	68%	67%	70%	64%	61%	60%	62%	64%
Export	68	83	68	81	70	130	175	295	290	341	443	487	526	552	569
% yoy		21%	-18%	19%	-14%	86%	35%	69%	-2%	17%	30%	10%	8%	5%	3%
% total	9%	7%	6%	7%	4%	9%	26%	32%	33%	30%	36%	39%	40%	38%	36%
Domestic demand breakdown															
Replacement	406	534	636	601	591	558	370	469	396	499	480	471	502	596	686
% total domestic	61%	52%	59%	55%	38%	44%	74%	76%	66%	62%	60%	62%	63%	65%	68%
New demand	254	496	444	492	955	706	127	146	206	300	320	289	295	321	323
% total domestic	39%	48%	41%	45%	62%	56%	26%	24%	34%	38%	40%	38%	37%	35%	32%
Domestic demand by applications															
Logistics	488	747	721	749	1,059	809	309	471	472	640	636	597	629	729	809
% yoy	62%	53%	-4%	4%	41%	-24%	-62%	52%	0%	36%	-1%	-6%	5%	16%	11%
% total domestic	74%	73%	67%	69%	68%	64%	62%	76%	78%	80%	80%	79%	79%	80%	80%
Construction and utility	172	283	360	344	488	455	187	145	129	159	163	162	168	188	200
% yoy	9%	64%	27%	-4%	42%	-7%	-59%	-23%	-11%	23%	2%	0%	4%	12%	6%
% total domestic	26%	27%	33%	31%	32%	36%	38%	24%	22%	20%	20%	21%	21%	20%	20%
Domestic demand by powertrain															
Diesel	645	958	1,010	973	1,403	1,203	433	426	338	369	297	242	232	238	244
% yoy		48%	5%	-4%	44%	-14%	-64%	-2%	-21%	9%	-19%	-19%	-4%	3%	2%
% total domestic	98%	93%	93%	89%	91%	95%	87%	69%	56%	46%	37%	32%	29%	26%	24%
LNG	14	70	70	116	141	52	36	153	180	199	216	228	255	312	353
% yoy		389%	-1%	65%	22%	-63%	-30%	327%	17%	10%	9%	6%	12%	22%	13%
% total domestic	2%	7%	6%	11%	9%	4%	7%	25%	30%	25%	27%	30%	32%	34%	35%
NEV (BEV)	0	1	1	4	3	9	24	31	77	224	280	283	303	358	399
% yoy		205%	-13%	598%	-38%	245%	175%	26%	153%	190%	25%	1%	7%	18%	12%
% total domestic		0%	0%	0%	0%	1%	5%	5%	13%	28%	35%	37%	38%	39%	40%
NEV (Others)	0	0	0	0	0	1	3	5	7	7	6	7	7	9	12
% yoy							274%	93%	25%	-1%	-6%	3%	13%	23%	30%
% total domestic		0%	0%	0%	0%	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Installed base															
Logistics	4,008	4,678	5,396	5,905	6,517	6,931	6,728	6,635	6,659	6,682	7,226	6,996	7,101	7,202	7,293
% total install base	70%	74%	76%	78%	78%	76%	75%	75%	75%	75%	78%	77%	77%	77%	78%
Construction and utility	1,687	1,676	1,700	1,712	1,889	2,139	2,214	2,209	2,176	2,184	2,098	2,094	2,110	2,106	2,102
% total install base	30%	26%	24%	22%	22%	24%	25%	25%	25%	25%	22%	23%	23%	23%	22%
Installed base breakdown by powertrain															
Diesel								8,137	7,731	7,360	7,506	6,771	6,559	6,115	5,684
% total installed base								92%	88%	83%	81%	75%	71%	66%	60%
China III								512	256	102	0	0	0	0	0
% total diesel								6%	3%	1%	0%	0%	0%	0%	0%
China IV								1,174	956	549	355	159	0	0	0
% total diesel								14%	12%	7%	5%	2%	0%	0%	0%
China V								3,261	3,123	2,942	2,725	2,384	1,926	1,409	856
% total diesel								40%	40%	40%	36%	35%	29%	23%	15%
China VI								3,191	3,395	3,766	4,426	4,229	4,632	4,706	4,828
% total diesel								39%	44%	51%	59%	62%	71%	77%	85%
LNG								643	835	1,031	1,212	1,409	1,640	1,889	2,114
% total installed base								7%	9%	12%	13%	15%	18%	20%	22%
NEV								64	133	310	606	909	1,013	1,303	1,597
% total installed base								1%	1%	3%	6%	10%	11%	14%	17%

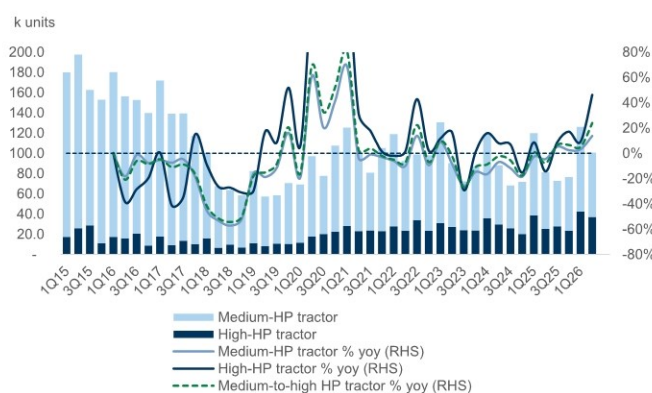
Source: CAAM, ThinkerCar, China Customs, Goldman Sachs Global Investment Research

Agricultural equipment: Domestic inflection reaffirmed; export maintained strong momentum

Key industry highlights in 2Q26

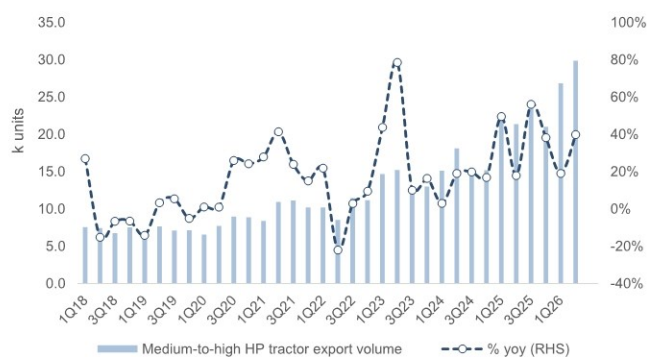
- Industry production volume accelerated further in 2Q26 following the 1Q26 inflection. Medium-to-high HP tractor output has sustained 20%+ yoy growth since April, while high-HP tractors have maintained robust mid-double-digit yoy growth since May. As a result, 2Q26 medium-to-high HP tractor production increased 22% yoy, driven by a strong 41% yoy rebound in high-HP tractors, pushing second-quarter volumes to a record high.
- Supported by strong high-HP expansion, the high-HP mix within the medium-to-high HP segment reached a historic high of 37% in 2Q26, nearly double the historical second-quarter average of 20%.
- By geography:
 - Despite ongoing geopolitical conflicts, exports accelerated in 2Q26, with medium-to-high HP tractor export volumes rising 40% yoy and high-HP tractor exports surging 56% yoy. By region, double-digit yoy growth was recorded across all key markets except Africa, where medium-HP tractor exports faced a high base last year.
 - Implied domestic demand, measured as production minus exports, posted solid 16% yoy growth in 2Q26, led by a notable 38% yoy increase in the high-HP segment. A key driver was favorable crop pricing, with the average price of major crops up 5% YTD and 10% above last year's trough.

Exhibit 8: China's medium-to-high HP tractors production volume saw strong growth of +22% yoy in 2Q26, with high-HP tractors recording robust rebound of +41% yoy
China quarter medium-to-high HP tractor production volume (k units) and % yoy (RHS)



Source: NBS

Exhibit 9: China medium-to-high HP tractor exports accelerated in 2Q26, with strong growth of +40% yoy
China medium-to-high HP tractor exports volume (k units) and % yoy trends (RHS)



Source: China Customs

Key highlights for 2Q26 earnings preview

We summarize below the key preview highlights ([Exhibit 10](#)):

- **Top-line growth:** We expect First Tractor's 2Q26 topline to see solid growth of +25% yoy riding on strong industry demand. Q2 is typically an off-season for tractor

sales, and we expect the strong production inflection during the quarter to translate into sales with a slight lag. As a result, we project even stronger top-line growth of c.30% yoy in 2H26.

- **Profitability:** We expect GPM to see both yoy and qoq expansion in 2Q26 supported by more favorable product mix with higher proportion of high- and ultra-high HP tractors. This margin expansion is expected to translate into robust EBIT growth, which we estimate at +40% yoy.
- **Net profit:** However, due to the absence of one-off gains below the EBIT line (primarily fair value changes of trading financial assets), we expect NP growth to be limited to a SD% yoy. Looking ahead, we expect a clearer and more pronounced reflection of underlying operational growth in net profit starting in 3Q26.

Exhibit 10: 2Q26/1H26 preview for First Tractor

mn Rmb	2025							2026						
	1Q25	2Q25	1H25	3Q25	4Q25	2H25	2025	1Q26	2Q26E	1H26E	3Q26E	4Q26E	2H26E	2026
First Tractor														
Sales	4,557	2,371	6,928	2,775	1,120	3,895	10,823	4,669	2,964	7,633	3,330	1,628	4,958	12,591
yoy chg%	-2%	-25%	-11%	-5%	-4%	-5%	-9%	2%	25%	10%	20%	45%	27%	16%
GPM (%)	15.9%	16.3%	16.0%	16.7%	5.8%	13.6%	15.1%	16.5%	16.8%	16.6%	17.0%	8.2%	14.1%	15.6%
EBIT	500	136	636	184	(317)	(133)	503	551	190	741	235	(293)	(59)	682
yoy chg%	-11%	-52%	-25%	18%	-12%	-35%	-22%	10%	40%	17%	28%	-7%	-56%	36%
EBIT margin (%)	11.0%	5.7%	9.2%	6.6%	-28.3%	-3.4%	4.6%	11.8%	6.4%	9.7%	7.1%	-18.0%	-1.2%	5.4%
Net profit	530	240	769	225	(182)	43	812	563	243	806	283	(142)	141	947
yoy chg%	-12%	-22%	-15%	15%	2%	157%	-12%	6%	2%	5%	26%	-22%	229%	17%
Net margin (%)	11.6%	10.1%	11.1%	8.1%	-16.3%	1.1%	7.5%	12.0%	8.2%	10.6%	8.5%	-8.7%	2.8%	7.5%

Source: Company data, Goldman Sachs Global Investment Research

Maintain our ag equipment industry forecasts

- **Domestically,** we expect this year to mark an inflection point following a three-year downcycle, primarily driven by a strong recovery in crop prices. We project full-year industry sales to grow by 10% yoy. By HP range, we anticipate a continuation of the upsizing trend, with high-HP tractors outgrowing other categories.
- **For exports,** we expect strong momentum to persist supported by China OEMs' share gains in global market. We forecast full-year export growth of c.30% yoy.

Exhibit 11: Summary of our industry model (2016-2030E) - China tractor industry

k units	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Sales volume of key OEMs (Medium-to-High HP)	283	232	180	192	254	315	375	318	315	279	325	376	424	461	502
% yoy	-8%	-18%	-22%	7%	33%	24%	19%	-15%	-1%	-12%	16%	16%	13%	9%	9%
By region															
Domestic	202	151	163	222	274	334	263	252	191	210	234	255	268	282	
% yoy	-25%	8%	36%	24%	22%	-21%	-4%	-24%	10%	11%	9%	5%	5%	5%	
% of total	87%	84%	85%	87%	89%	83%	80%	65%	62%	65%	62%	60%	58%	56%	
Export	30	29	28	32	41	41	55	63	88	114	142	169	193	220	
% yoy	-2%	-3%	13%	26%	2%	34%	14%	39%	29%	24%	19%	14%	14%	14%	
% of total	13%	16%	15%	13%	13%	11%	17%	20%	32%	35%	38%	40%	42%	44%	
By horsepower															
High-HP (≥ 100 HP)	82	66	48	51	76	84	115	106	116	107	126	147	166	175	185
% yoy	-25%	-28%	8%	48%	11%	37%	-9%	10%	-8%	17%	17%	13%	6%	6%	
% of total	29%	29%	26%	27%	30%	27%	31%	33%	37%	38%	39%	39%	39%	38%	
Medium-HP (25-100 HP)	201	165	132	140	178	231	260	213	199	172	199	229	259	286	317
% yoy	-17%	-18%	-20%	6%	27%	30%	12%	-18%	-6%	-14%	16%	15%	13%	11%	11%
% of total	71%	71%	74%	73%	70%	73%	69%	67%	63%	62%	61%	61%	61%	62%	63%
Domestic sales by mechanism															
Mechanical shift					220	271	328	254	238	164	193	202	212	217	214
% yoy					23%	21%	-22%	-7%	-31%	17%	5%	5%	2%	-1%	
% of total					99%	99%	98%	97%	94%	86%	92%	86%	83%	81%	76%
Power shift					2	4	5	8	14	26	17	30	41	48	63
% yoy					115%	51%	53%	70%	88%	-35%	81%	35%	18%	31%	
% of total					1%	2%	3%	5%	14%	8%	13%	16%	18%	23%	
CVT						1	0	1	1	1	1	2	3	5	
% yoy						-20%	25%	0%	39%	76%	68%	51%	46%		
% of total						0%	0%	0%	0%	0%	1%	1%	1%	2%	
Domestic demand breakdown by horsepower	202	151	163	222	274	334	263	252	191	210	234	255	268	282	
% yoy	-25%	8%	36%	24%	22%	-21%	-4%	-24%	10%	11%	9%	5%	5%	5%	
High-HP (≥ 100 HP)	63	44	48	72	77	106	92	104	91	106	123	139	145	153	
% yoy	-30%	9%	50%	8%	37%	-13%	13%	-12%	16%	16%	13%	5%	5%	5%	
% of domestic	31%	29%	29%	32%	28%	32%	35%	41%	48%	50%	53%	54%	54%	54%	
Medium-HP (25-100 HP)	138	107	115	150	197	228	171	148	99	104	111	117	123	129	
% yoy	-23%	8%	30%	31%	16%	-25%	-13%	-33%	5%	6%	6%	5%	5%	5%	
% of domestic	69%	71%	71%	68%	72%	68%	65%	59%	52%	50%	47%	46%	46%	46%	
Export breakdown by horsepower	30	29	28	32	41	41	55	63	88	114	142	169	193	220	
% yoy	-2%	-3%	13%	26%	2%	34%	14%	39%	29%	24%	19%	14%	14%	14%	
High-HP (≥ 100 HP)	3	4	3	4	7	9	13	12	16	20	24	27	30	32	
% yoy	2%	-1%	23%	64%	39%	43%	-8%	27%	25%	20%	15%	10%	8%	8%	
% of exports	9%	12%	12%	13%	17%	23%	20%	18%	17%	17%	16%	15%	15%	15%	
Medium-HP (25-100 HP)	27	26	25	28	34	32	42	51	73	95	118	142	163	188	
% yoy	-5%	-3%	12%	21%	-6%	32%	22%	42%	30%	25%	20%	15%	15%	15%	
% of exports	91%	88%	88%	87%	83%	77%	76%	80%	82%	83%	83%	84%	85%	85%	
Production volume	1,985	1,414	571	618	538	599	570	550	490	465					
% yoy	-5%	-29%	-60%	8%	-13%	11%	-5%	-4%	-11%	-5%					
Medium-to-High HP (≥ 25 HP)	630	418	243	278	360	412	400	380	348	344					
% Sales to production	45%	55%	74%	69%	71%	77%	94%	84%	91%	81%					
High-HP	63	51	40	40	70	99	108	107	112	115					
% yoy	-19%	-19%	-21%	0%	76%	40%	9%	0%	4%	3%					
% of total	3%	4%	7%	6%	13%	16%	19%	20%	23%	25%					
Medium-HP	567	367	203	238	289	313	292	273	237	229					
% yoy	-7%	-35%	-45%	17%	22%	8%	-7%	-6%	-13%	-3%					
% of total	29%	26%	36%	38%	54%	52%	51%	50%	48%	49%					
Low-HP	1,355	996	328	340	178	187	170	169	141	121					
% yoy	-3%	-26%	-67%	4%	-48%	5%	-9%	-1%	-16%	-15%					
% of total	68%	70%	57%	55%	33%	31%	31%	29%	26%	26%					
Installed base	23,170	23,043	22,403	22,243	22,049	21,731	21,441	20,878	20,452	19,977	19,469	19,092	18,657	18,349	17,971
% yoy	0%	-1%	-3%	-1%	-1%	-1%	-1%	-3%	-2%	-2%	-3%	-2%	-2%	-2%	-2%
Installed base breakdown by horsepower and region															
High-HP (≥ 100 HP)	-	-	518	597	694	752	846	846	912	983	1,107	1,196	1,266	1,341	1,381
% yoy			15%	16%	8%	12%	0%	0%	8%	8%	13%	8%	6%	6%	3%
% total			2%	3%	3%	4%	4%	4%	5%	5%	6%	6%	7%	7%	8%
Plain area	-	-	505	581	676	732	820	820	884	963	1,074	1,158	1,226	1,297	1,335
% yoy			15%	16%	8%	12%	0%	0%	8%	8%	13%	8%	6%	6%	3%
% High			97%	97%	97%	97%	97%	97%	97%	97%	97%	97%	97%	97%	97%
Mountainous and hilly areas	-	-	13	15	18	21	26	26	27	29	33	37	40	43	46
% yoy			13%	17%	17%	25%	0%	6%	8%	13%	13%	8%	8%	6%	6%
% High			3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
% yoy															
Medium-HP(25-100 HP)	-	-	3,702	3,842	4,079	4,228	4,407	4,407	4,535	4,680	4,973	5,133	5,222	5,297	5,320
% yoy			4%	4%	4%	4%	0%	0%	3%	3%	6%	3%	2%	1%	0%
% total			17%	17%	19%	19%	21%	21%	22%	23%	26%	27%	28%	29%	30%
Plain area	-	-	3,440	3,588	3,816	3,972	4,151	4,271	4,395	4,651	4,786	4,831	4,877	4,875	
% yoy			4%	4%	4%	4%	0%	3%	3%	6%	3%	1%	1%	0%	
% Medium			93%	93%	94%	94%	94%	94%	94%	94%	93%	93%	92%	92%	
Mountainous and hilly areas	-	-	261	255	263	256	257	257	264	285	321	346	390	421	445
% yoy			-3%	3%	-3%	0%	0%	0%	3%	8%	13%	8%	13%	8%	6%
% Medium			7%	7%	6%	6%	6%	6%	6%	6%	7%	7%	7%	8%	8%
Low-HP(<25 HP)	19,141	18,739	18,183	17,804	17,276	16,750	16,187	15,624	15,005	14,314	13,389	12,764	12,169	11,710	11,270
% yoy	-1%	-2%	-3%	-2%	-3%	-3%	-3%	-4%	-5%	-5%	-6%	-5%	-4%	-4%	-4%
% total	83%	81%	81%	80%	78%	77%	75%	75%	73%	72%	69%	67%	65%	64%	63%
Plain area	17,307	16,915	16,602	16,235	15,735	15,296	14,780	14,291	13,725	13,047	12,147	11,547	10,976	10,542	10,124
% yoy	-2%	-2%	-2%	-2%	-3%	-3%	-3%	-3%	-4%	-5%	-7%	-6%	-5%	-4%	-4%
% Low	90%	90%	91%	91%	91%	91%	91%	91%	91%	91%	91%	90%	90%	90%	90%
Mountainous and hilly areas	1,834	1,824	1,581	1,570	1,541	1,454	1,407	1,333	1,280	1,267	1,242	1,217	1,193	1,169	1,145
% yoy	1%	-1%	-13%	-1%	-2%	-6%	-3%	-5%	-4%	-1%	-2%	-2%	-2%	-2%	-2%
% Low	10%	10%	9%	9%	9%	9%	9%	9%	9%	9%	9%	9%	10%	10%	10%

Source: NBS, China Customs, Industry Yearbook, Goldman Sachs Global Investment Research

Earnings revisions and valuation**Earnings revisions**

Reflecting our revised industry forecasts and 2Q25/1H25 preview, we revise our 2026E-28E EPS estimates (by -1%~+18%) across our China machinery coverage. While our earnings revisions remain mostly small (SD%), we highlight:

- **Lonking:** We raise our 2026E-27E EPS estimates by 8-18% and introduce 2028E EPS

estimate (Rmb0.36/share), on the back of stronger-than-expected loader demand and more resilient than expected margins.

- **Weichai Power:** We raise our 2026E–28E EPS estimates by 1–17%, mainly on more bullish assumptions on AIDC power generation, ahead of the Street (we are 4–10% above Visible Alpha Consensus estimates).

Valuation

Reflecting our earnings revisions, rolling forward our valuation timeframe to mid-2027E and marking-to-market our A/H premium assumptions, we revise our 12-m TPs by –2%~+23%.

- **We maintain our target value multiples** for Dingli, Sinotruk, Hengli and Sany Heavy unchanged.
- **We trim our target EV/DACF multiple for Lonking** from previously 6.5x to 6.1x, which is now consistent with the mid-cycle average since 2016 as we roll forward our valuation timeframe to 2026E–27E – middle of the current cycle (vs. previously multiple on early-to-mid-cycle DCF). **We upgrade the stock from Neutral to Buy**, given the revised 12-m TP now implies 25% upside potential, which together with 6–7% dividend yield suggests 30%+ total return potential – one of the highest within our China construction machinery coverage.
- **We also trim our target valuation multiples for Weichai Power**, both 1) for the traditional business (from 12x previously to 10x) to reflect the stage of the truck cycle as we roll forward our valuation timeframe and 2) AIDC power generation business (from 25x–51x previously to 20x–25x) to reflect the latest multiples for the global peers. Our TPs for Weichai Power A/H, however, remain largely unchanged (–2%~0%) as the reduction in valuation multiples are mostly offset by the earnings upgrades.
- **We upgrade Lonking from Neutral to Buy, with TP raised from HKD 3.0 to HKD 3.7**, implying a 25% upside, which along with 6–7% dividend yield leads to 30%+ total return potential. The TP revision is driven by a 8%–18% earnings upgrade on raised industry forecasts and a roll-forward of our valuation timeframe to an average of 2026E–2027E. Lonking offers EM-skewed export exposure which benefits from strong mining activities and re-industrialization. Trading at under 8x P/E and a 20% discount to book value (against a 12% ROE), we see compelling valuation and therefore upgrade the stock to Buy.

Exhibit 12: Summary of earnings revisions and GS estimates vs. Visible Alpha consensus

	Rating	Target Price (RMB/share)	Revenue			Net profit			EPS		
			2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Construction machinery											
Dingli Machinery (603338.SS)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Buy	71.0	10,299	12,031	13,711	2,047	2,649	3,021	4.04	5.23	5.97
Gse (Old)	Buy	71.0	10,256	11,984	13,657	2,075	2,653	3,013	4.10	5.24	5.95
% diff		0%	0%	0%	0%	-1%	0%	0%	-1%	0%	0%
Visible Alpha Consensus/Last close price		55.6	9,739	11,043	12,269	2,092	2,364	2,661	4.13	4.67	5.26
% diff/UpSide (Downside)		28%	6%	9%	12%	-2%	12%	13%	-2%	12%	14%
Sany Heavy (600031.SS)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Neutral	22.0	102,564	114,111	125,124	10,578	13,709	15,787	1.15	1.49	1.72
Gse (Old)	Neutral	21.0	101,293	111,964	123,004	10,666	13,037	15,113	1.16	1.42	1.64
% diff		5%	1%	2%	2%	-1%	5%	4%	-1%	5%	4%
Visible Alpha Consensus/Last close price		18.8	102,654	117,376	133,256	10,811	13,413	16,071	1.18	1.46	1.75
% diff/UpSide (Downside)		17%	0%	-3%	-6%	-2%	2%	-2%	-2%	2%	-2%
Hengli Hydraulics (601100.SS)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Neutral	97.0	13,723	15,785	17,804	3,451	4,185	4,879	2.57	3.12	3.64
Gse (Old)	Neutral	93.0	12,921	14,916	16,970	3,233	3,958	4,645	2.41	2.95	3.46
% diff		4%	6%	6%	5%	7%	6%	5%	7%	6%	5%
Visible Alpha Consensus/Last close price		106.3	13,339	15,495	17,534	3,413	4,170	4,827	2.53	3.10	3.60
% diff/UpSide (Downside)		-9%	3%	2%	2%	1%	0%	1%	2%	1%	1%
Lonking Holdings (3339.HK)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Buy	3.7	12,989	14,113	15,239	1,414	1,436	1,542	0.33	0.34	0.36
Gse (Old)	Neutral	3.0	11,987	12,914		1,194	1,330		0.28	0.31	
% diff		23%	8%	9%		18%	8%		18%	8%	
Visible Alpha Consensus/Last close price		3.0	11,848	12,668	14,410	1,301	1,442	1,664	0.30	0.34	0.39
% diff/UpSide (Downside)		25%	10%	11%	6%	9%	0%	-7%	9%	0%	-7%
Trucks & engines											
Weichai Power (000338.SZ/2338.HK)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Buy	RMB 48.0/HKD 55.0	262,600	286,570	313,645	15,109	20,069	24,951	1.74	2.33	2.91
Gse (Old)	Buy	RMB 48.0/HKD 56.0	257,070	282,495	306,598	14,904	18,357	21,318	1.72	2.13	2.49
% diff		0%/-2%	2%	1%	2%	1%	9%	17%	1%	9%	17%
Visible Alpha Consensus/Last close price		RMB 29.7/HKD 35.0	258,133	286,432	312,662	14,561	18,650	22,718	1.67	2.15	2.62
% diff/UpSide (Downside)		62%/57%	2%	0%	0%	4%	8%	10%	4%	9%	11%
Sinotruk (3808.HK)			Rmb mn			Rmb mn			Rmb		
Gse (New)	Buy	55.0	132,157	143,862	157,631	8,906	9,834	10,732	3.23	3.56	3.89
Gse (Old)	Buy	51.0	119,943	138,588	155,040	8,570	9,463	10,596	3.10	3.43	3.84
% diff		8%	10%	4%	2%	4%	4%	1%	4%	4%	1%
Visible Alpha Consensus/Last close price		40.0	131,195	145,904	158,644	8,464	9,727	10,641	3.07	3.53	3.86
% diff/UpSide (Downside)		38%	1%	-1%	-1%	5%	1%	1%	5%	1%	1%

Last close price: close price at Aug 14 2026

Source: Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Investment Thesis, Price Target Risks and Methodology**Investment Thesis - Lonking Holdings**

Lonking is one of China's largest manufacturers of wheel loaders, a type of earthmoving machinery commonly used in infrastructure, property and mining projects. While we were previously cautious about the demand outlook for loaders in China due the normalization of the user preference (from preferring loaders to excavators during 2008-11 to excavators over loaders since 2016) that has led to a significant underperformance of loaders vs. excavators, we believe the trend of "excavators substituting loaders" in China seems to have largely come to an end, as evidenced by a normalized excavators/loaders ratio compared to the global ex-China level and the fact that loader demand has started to grow largely in tandem with excavators in this cycle. We view Lonking as the key beneficiary of the ongoing loader recovery cycle domestically and China's strong export momentum in loaders. We are Buy rated on the stock.

Price Target Risks and Methodology - Lonking Holdings

Valuation: Our 12-month EV/GCI vs. CROCI-based target price of HK\$3.70 is based on a

target 2026E/27E EV/DACF multiple of 6.1x, consistent with the mid-cycle average for the cycle since 2016 (when the trend of excavators replacing loaders took place) to reflect the current stage of the loader cycle (i.e. mid). The implied EV/GCI corresponds to 0.6x (vs. 0.8x on average since 2016), which appears warranted against a projected CROCI (c.10% on average during 2026E/27E vs. c.12% on average over 2016-24).

Key risks: 1) An unexpected increase in raw material input costs – particularly steel; 2) weaker-than-expected industry demand for construction machinery likely due to macro policy environment turning less favorable; 3) intensifying market competition; 4) slower-than-expected export growth for loaders.

Investment Thesis – Jiangsu Hengli Hydraulic Co.

Hengli Hydraulic is China's largest producer of hydraulic components (in terms of sales volume), a critical (therefore high-barrier-to-entry) part of the drive system for mobile machinery and general industrial applications. We are positive on the company's long-term growth prospects from expanding into non-excavator applications of hydraulics as well as its expansion into linear actuators (20% earnings accretion by 2030), including both general industrial application (linear guide and ball screws) and humanoid robot application (planetary roller screws for robot joints). However, we believe the market has already priced in very optimistic long-term assumptions for new businesses and the cyclical recovery in the core hydraulics business both domestically and overseas. **We are Neutral rated on the stock** as valuation looks fair against the company's growth prospect.

Price Target Risks and Methodology – Jiangsu Hengli Hydraulic Co.

Valuation: Our 12month TP of Rmb97.0 is based on a discounted P/E methodology, reflecting Hengli's long-term growth potential driven by accelerated import substitution in the broader-based hydraulic market, as well as its expansion into the linear actuator market. We apply an exit P/E multiple of 30x on 2030E EPS and discount back to mid-2027E with a CoE of 11%. Our target P/E multiple is in line with the company's long-term average level, but higher than the average level the stock has traded at over the past 3 years (i.e., 25x, with the derating driven by growth deceleration in the core hydraulics business) as we expect the new business expansion will likely restore the company's long-term growth prospects.

Key risks: 1) Stronger/weaker-than-expected global demand for mobile machinery; 2) Faster/slower-than-expected new product development (e.g., linear actuators, electric cylinders, etc.); 3) Stronger/slower-than-expected global humanoid robot shipment outlook and higher/lower-than-expected wallet share in the planetary roller screw segment or the broader linear actuator segment; 4) global trade environment turning more favorable/unfavorable.

Investment Thesis – Sany Heavy

Sany Heavy is one of China's leading manufacturers of construction machinery including excavators (ranked No.1 globally in terms of volume), concrete machinery (ranked No.1 globally) and cranes (top 3 in China), with infrastructure, property and mining its key end-markets. While cyclically we are seeing a more favorable near-term setup, with domestic machinery cycle inflecting (driven by replacement), EMs strength sustaining and signs of DM cycle bottoming out (on more balanced supply/demand), we believe the

stock's notable re-rating so far in this cycle (vs. historical levels and against global peers) has well reflected Sany's much improved FCF generation capability and the company's increased exposure to the overseas markets, where Sany has managed to expand market share primarily in EMs. We therefore are Neutral rated on the stock.

Price Target Risks and Methodology - Sany Heavy

Valuation: We use a 2026E/27E target EV/GCI of 1.3x based on the historical trading level against expected CROCI. Our 12-month target price of Rmb22.0 implies 19.1x/14.8x 2026E/2027E EPS (vs. the +20% EPS CAGR projected over 2025-28E) and 2.2x/2.0x 2026E/2027E PB (vs. projected ROEs of 12-14% over 2026E-27E).

Key risks: (1) Stronger/weaker-than-expected construction activities in China and/or globally; (2) faster/slower-than-expected market share gain both domestically and overseas; (3) unexpected decrease/increase in raw material prices, mainly steel; (4) an unexpected depreciation/appreciation in Rmb against major foreign currencies, which could lead to better/worse-than-expected GPM for its overseas business (73% of the company's total GP in 2025); (5) global trade environment turning more favorable/unfavorable.

Investment Thesis - Zhejiang Dingli Co Ltd.

Zhejiang Dingli is one of China's largest suppliers of aerial working platforms (AWP), a type of powered access equipment used in building construction, maintenance, cleaning, utilities and events. Our Buy rating on the stock is based on 1) long-term adoption potential of AWP in China (a significantly under-penetrated market from a global context) driven by rising labor wages (against falling rental rates for AWP), a construction worker shortage, and increasing safety awareness; 2) product mix upgrade towards higher-ASP and higher-barrier-to-entry boom lifts (vs. scissor lifts) where Dingli has built a substantial technology gap vs. domestic peers while leading the 22m+ boom electrification technology globally; and 3) growing competitiveness in the overseas markets driven by product differentiation (electrification in particular).

Dingli remains well positioned within our China Machinery coverage with a proven track record of maintaining operational resilience under a high-tariff/duty environment; e.g. has navigated two complete rounds of targeted trade restrictions (on AWP) by the US and EU, which in our view has significantly optimized the competitive landscape by limiting competition from (or raising the bar for) Chinese peer exporters. We view this as a strong testament to its product differentiation (leading to pricing power) and cost competitiveness enabled by a high level of vertical integration and superior supply chain management.

Price Target Risks and Methodology - Zhejiang Dingli Co Ltd.

Valuation: We base our 12-m TP of Rmb71.0 on an 11.0x average 2026E/27E DACF. Our target EV/DACF multiple of 11.0x is at 1SD below its 3-year average, reflecting likely lingering uncertainties around global trade (thereby capping valuation upside). The implied EV/GCI of 2.1x also looks fair against projected 2026E CROCI of ~20% and an estimated WACC of 10%. Our target price implies 17.3x/13.6x 2026E/2027E P/Es, which we believe is justified given the +17% EPS CAGR projected over 2025-28E (GSe).

Key risks: 1) Weaker-than-expected construction activities globally; 2) intensifying

competition in the global aerial working platform (AWP) market; 3) slower-than-expected penetration of boom products in the US market; 4) escalating US-China trade tension that could potentially lead to more unfavorable duties/tariffs for the exports into the US market (currently ~30% of Dingli's sales); 5) unfavorable outcomes from unexpected trade restrictions.

Investment Thesis - Sinotruk (Hong Kong)

Sinotruk is China's largest manufacturer of heavy-duty trucks (HDTs), with 27% market share (measured by wholesale volume in 2025). It also leads in China HDT export market, with 45% of volume share in 2025. Other than the core HDT business (88%/100% of its 2025 topline/OP), Sinotruk also engages in the production of light-duty trucks (No.8 ranked overall in China).

We see a more favorable cyclical outlook ahead, with export strength likely to be sustained and a projected domestic HDT upcycle from 2027. With the company's growing dominance in China's export market, we also view Sinotruk as well positioned to capture the longer-term growth opportunities in under-penetrated overseas markets (LATAM, Oceania and potentially Europe via electrification). We value Sinotruk at 15x 2026E/27E average EPS and rate the shares Buy. **Key downside risks:** 1) weaker-than-expected macro activities; 2) weaker-than-expected truck industry policy support; 3) Softer-than-expected overseas HDT demand, especially in EMs; 4) Slower-than-expected share expansion in the overseas markets; 5) Unfavorable moves in FX and raw materials.

Price Target Risks and Methodology - Sinotruk (Hong Kong)

Valuation: We value Sinotruk at 15x 2026E/27E average EPS (12-m TP at HK\$55.0/share), which is close to +1SD above its long-term mid-cycle average, with the rerating driven by growing export exposure. We benchmark our target multiple (15x) to the broader Chinese machinery peer group with similar export narratives.

Key risks: 1) Weaker-than-expected macro activities, particularly in road freight, infrastructure and property; 2) Weaker-than-expected industry policy support (e.g. replacement/scrappage subsidies); 3) Softer-than-expected overseas HDT demand, especially in EMs; 4) Slower-than-expected share expansion in the overseas markets; 5) Unfavorable moves in FX and raw materials.

Investment Thesis - Weichai Power

Weichai Power is China's largest manufacturer of internal combustion engines, with ~20% volume share in China's multi-cylinder engine market, with key verticals across commercial vehicle (mainly heavy-duty trucks), construction machinery, agricultural equipment, marine and power generation. In addition to the engine business, Weichai has also managed to build a diversified business portfolio over the years that spans across **1) complete vehicles and auto components**, primarily through its 51% owned subsidiary Shaanxi Heavy-duty Motor (China's third largest heavy-duty truck producer) and 51% owned subsidiary Fast Gear (China's largest manufacturer of gear boxes); **2) agricultural equipment** which is operated under its 61.1% owned subsidiary Weichai

Lovol – China's largest manufacturer of agricultural equipment; and **3) intelligent logistics** (mainly sales of industrial trucks and supply chain solution) through its 46.5% owned subsidiary KION (KGX.DE), which is the second largest producer of industrial trucks globally and the largest provider of supply chain solutions globally.

We believe the investment narrative for Weichai has now shifted from heavy-duty trucks to AI data center power generation as the company has managed to build a comprehensive technology/product portfolio across large engines for diesel gensets (as back-up power for AIDC), gas gensets (onsite primary/standby power) and fuel cells (an emerging onsite generation solution). AIDC power generation, currently 12% of Weichai's total 2025 NP, is poised to grow ~10x by 2028E and we see its earnings contribution more than quadrupling to 52% of the total, driving 80%+ of its incremental EPS growth through 2028E. Such a shift in investment narrative, in our view, warrants a rerating. We are Buy rated on both the H-share and A-share.

Price Target Risks and Methodology – Weichai Power

Valuation: We adopt a SoTP-based valuation methodology as we believe SoTP better captures the different stages of growth the company's various power generation products are in. Our primary valuation is anchored to the H-share.

- We value **Weichai's legacy business** using lower-than-mid-cycle P/E (at 10x) on average 2026E-27E EPS and KION's attributable market cap value to Weichai.
- For Weichai's AIDC power generation business portfolio: **1) Diesel large engines (back-up power):** We apply 20x 2028E P/E, discounted back to mid-2027E using a CoE of 9%; **2) RICE (prime power):** We apply 25x 2030E P/E, discounted back to mid-2027E using a CoE of 9%. **3) SOFC (prime power):** We apply 25x 2030E P/E, discounted back to mid-2027E using a CoE of 9%.

With this, we derive our H-share 12-m target price at HK\$55.0/share. For the A-share, we assume a 5% discount to the H-share equity value referencing to the trading patterns over the 6 month, leading to a 12-m target price of Rmb48.00/share.

Key risks: 1) Slower-than-expected macro activity, particularly in road freight, infrastructure and property; 2) weaker-than-expected global economic growth; 3) powertrain shift to higher electrification penetration and lower LNG penetration; 4) weaker-than-expected HDT engine market share performance; 5) slower-than-expected development in power generation business.

Investment Thesis – First Tractor

First Tractor is China's largest producer of agricultural tractors by sales revenue in 2024. We view First Tractor as well positioned to capture the structural growth opportunities brought by China's tractor upsizing (towards high-HP tractors) and upgrading (towards intelligent tractors) trend in light of China's transition towards agricultural modernization to achieve food security. Exports, presenting c.3x the TAM opportunity in EMs (c.US\$10bn) vs. the domestic market (2024), could add another leg of growth over the long term as First Tractor builds its global competitiveness. We believe these structural shifts should drive a gradual convergence of First Tractor's margin and return profiles towards its global peers and warrant a re-rating for the stock, which we view as undervalued. We are Buy rated on both A-share and H-share.

Price Target Risks and Methodology - First Tractor

Valuation: We derive our 12-m target price of HK\$13.9/share for First Tractor-H from an average of near- and long-term valuation. We apply a target P/E of 10.5x (in line with the long-term mid-cycle average) to 2026E/2027E average EPS to derive our near-term valuation, while applying a target P/E of 12x on 2030E EPS (referencing to the long-term mid-cycle average of its global peers), discounted back to mid-2027E using a CoE of 9.5% to arrive at our long-term valuation. Our 12-m target price of Rmb21.3/share for First Tractor-A incorporates a 67% A/H premium, consistent with the average A/H premium for First Tractor over the past 6 months.

Key downside risks: 1) weaker-than-expected crop prices; 2) unfavorable changes in gov't subsidy policy for agricultural equipment; 3) intensifying market competition; 4) execution risks relating product mix upgrade; 5) slower-than-expected localization of key components; 6) slower-than-expected progress in overseas market expansion.

Disclosure Appendix

Reg AC

I, Nick Zheng, CFA, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Nick Zheng, CFA Goldman Sachs (Asia) L.L.C., Selina Yan Goldman Sachs (Asia) L.L.C..

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The rating(s) for First Tractor (A), First Tractor (H), Jiangsu Hengli Hydraulic Co., Lonking Holdings, Sany Heavy, Sinotruk, Weichai Power (A), Weichai Power (H) and Zhejiang Dingli Co Ltd. is/are relative to the other companies in its/their coverage universe: Boqian New Materials, CALB Co., CATL (A), CATL (H), China Jushi, EVE Energy, Farasis Energy, First Tractor (A), First Tractor (H), Gotion High-Tech, Jiangsu Hengli Hydraulic Co., Lonking Holdings, Milkyway, NHU, REPT BATTERO Energy, Rianlon, Richful, Sany Heavy, Sinocera Functional Material, Sinotruk, Sunresin, Wanhua Chemical Group, Weichai Power (A), Weichai Power (H), Zenergy, Zhejiang Dingli Co Ltd.

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Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
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Price target and rating history chart(s)

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Target price history table(s)**First Tractor (H) (0038.HK)**

Date of report	Target price (HK\$)	Closing price (HK\$)
21-Jul-26	13.90	8.62
30-Mar-26	13.00	8.41
09-Dec-25	14.00	7.20

Weichai Power (A) (000338.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
06-May-26	48.00	34.32
04-May-26	42.00	31.20
05-Apr-26	38.00	25.10
03-Feb-26	34.00	24.31
31-Oct-25	20.30	14.96
22-Oct-25	19.60	14.63
01-Sep-25	20.50	14.81
29-Jul-25	21.20	15.33
01-Apr-25	24.00	15.96
16-Dec-24	16.30	13.17

Lonking Holdings (3339.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
22-Oct-25	3.00	2.93
29-Jul-25	2.90	2.70
05-Sep-24	1.60	1.42

Zhejiang Dingli Co Ltd. (603338.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
28-Apr-26	71.00	57.02
19-Apr-26	63.00	50.89
31-Oct-25	74.00	53.14
12-Aug-25	64.00	51.85
09-May-25	60.00	45.02
11-Nov-24	86.00	54.65
10-Sep-24	78.00	47.80
25-Apr-24	81.00	63.16
17-Apr-24	88.00	71.65
30-Oct-23	82.00	50.62
17-Oct-23	71.80	49.68
20-Aug-23	72.00	52.60

Jiangsu Hengli Hydraulic Co. (601100.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
22-Apr-26	93.00	101.08
28-Oct-25	83.00	93.45
19-Oct-25	82.00	89.28
26-Aug-25	79.00	86.90
29-Jul-25	69.00	75.80
29-Apr-25	63.00	73.71
23-Feb-25	67.00	84.60
29-Oct-24	50.00	53.00
05-Sep-24	52.00	51.31
06-Feb-24	49.00	53.13
17-Oct-23	58.00	58.90
29-Aug-23	60.00	61.13

Sany Heavy (600031.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
05-Apr-26	21.00	19.88
22-Oct-25	22.00	23.02
24-Aug-25	21.50	21.30
29-Jul-25	17.00	20.20
20-Apr-25	15.00	19.19
11-Nov-24	14.00	18.58
05-Sep-24	13.00	16.43
01-May-24	11.00	16.31
06-Feb-24	11.10	13.70
02-Nov-23	17.00	14.04

First Tractor (A) (601038.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
21-Jul-26	21.30	13.79
30-Mar-26	19.50	12.75
09-Dec-25	21.00	12.69

Weichai Power (H) (2338.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
06-May-26	56.00	44.66
04-May-26	46.00	43.32
05-Apr-26	41.00	29.10
03-Feb-26	37.00	27.18
31-Oct-25	21.00	16.05
22-Oct-25	20.00	15.13
29-Jul-25	21.00	17.04
01-Apr-25	22.00	16.00
16-Dec-24	14.61	11.12

Sinotruk (3808.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
12-Apr-26	51.00	44.24
22-Oct-25	21.00	24.10

Date of report	Target price (HK\$)	Closing price (HK\$)
29-Aug-25	20.00	22.68
29-Jul-25	19.00	24.65
01-Apr-25	18.60	20.10
16-Dec-24	17.30	21.85

Price targets shown in table(s) are unadjusted for corporate actions.

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